PORTLAND PUBLIC SCHOOLS
Board of Education
Thursday, October 16, 2025

Audit Committee Meeting

Informal Meeting Minutes

Pursuant to notice made by posting to the Board's public notices webpage and emailed to persons on the mailing list, a Audit Committee Meeting of the Portland Public Schools Board of Education was held at Dr. Matthew Prophet Education Center - Board Auditorium, 501 N. Dixon St, Portland, OR 97227 and streamed live at: https://www.youtube.com/@ppsboardofeducation/live

Attendance

Committee Members: Directors Patte Sullivan (Committee Chair), Christy Splitt, Stephanie Engelsman
Community Members: Jennifer Samuels and Caroline Zavitkovski
Board Members (Non-Committee): Chair Eddie Wang and Director Virginia La Forte

Other Attendees:
Kara Bradshaw – Confidential Executive Assistant, Board Clerk
Janise Hansen – Senior Internal Auditor
Michelle Morrison – Chief Financial Officer
Andrea Schiers – Senior Legal Counsel

Call to Order, Welcome to the Audit Committee, and Introductions

The meeting was called to order at 5:05 pm by Committee Chair Patte Sullivan. Attendees introduced themselves.

Audit Committee Membership

Time: 5:09 pm

Committee Chair Sullivan shared that the Council of Great City Schools released a white paper on auditing and provided a summary of the guidance providence.

Status of Implementation of the Contracts Audit Recommendations

Time: 5:11 pm

It was noted that this topic will be moved to the October 28th Board Work Session, with an option for additional follow-up by the Committee at a later date.

Discussion on the Audit Committee's Oversight Role Related to PPS's External Auditors

Time: 5:14 pm

Staff: Michelle Morrison

Annual Comprehensive Financial Report (ACFR)

A brief update on the status of the Annual Comprehensive Financial Report (ACFR) was provided. It was noted that the Federal Office of Management and Budget typically releases supplemental guidelines for the Single Audit's report on spending of federal funds each year in May, however the updated guidelines have not yet been released, which may lead to delays in the completion of the report. An additional status update is scheduled for the Board on November 6, 2025. Committee Chair Sullivan noted that the financial auditors may reach out to Committee Members to schedule a meeting with them and provided a summary of her experience meeting with them, adding that it's an informal conversation.

Annual Bond Performance Audits

Chair Sullivan introduced the Annual Bond Performance Audits, including the timeline for receiving the audit report. She noted that she has been exploring options to receive the audit report in July, even though the Committees reset at that time and new committee members will not yet be established.

Committee Chair Sullivan provided an overview of the outstanding recommendations from previous Bond Audits, noting that there is one finding recommending that the Equity in Contracting Policy be reconsidered, along with five additional recommendations that cannot be implemented until the policy is revisited. She suggested that oversight of the outstanding recommendations be divided among Board Committees based on the subject matter of each recommendation. The Committee discussed the outstanding recommendations and options for Board oversight and recommended that the full Board assign review of specific recommendations to committees whose scopes best align with the topics.

It was noted that the bond auditor's contract will need to be renewed, with discussion regarding membership of the Request for Proposal selection committee.

Chair Sullivan introduced the Annual Bond Performance Audits and reviewed the timeline for receiving the audit report. She noted that she has been exploring options to receive the report in July, despite committees resetting at that time and new committee members not yet being established. She also provided an overview of the outstanding recommendations from prior Bond Audits, including one recommendation to reconsider the Equity in Contracting Policy and five additional recommendations that cannot be implemented until the policy is revisited. Chair Sullivan suggested that oversight of the outstanding recommendations be divided among Board Committees based on subject matter. The Committee discussed options for oversight and recommended that the full Board assign review of specific recommendations to committees aligned with each topic. It was also noted that the bond auditor's contract will require renewal, and there was discussion regarding membership of the Request for Proposal selection committee.

Audit Committee Work Plan / Meeting Agendas for the 2025-2026 School Year

Time: 5:37 pm

Staff: Janise Hansen

Staff summarized the draft work plan and proposed meeting agenda, noting that each item on the work plan ties to an element in a committee meeting. Committee members expressed appreciation for the level of detail.

Office of Internal Performance Audit (OIPA) 2025-26 Audit Plan and Discussion on New Audit Topics

Time: 5:45 pm

Staff: Janise Hansen

Staff provided a status update on approved audit topics and reviewed progress on several audits currently underway or in development, including audits related to English Language Learners, Measure 98, building security, and Career and Technical Education programs. There was discussion regarding anticipated timelines, coordination with state-level audit work to avoid duplication, incorporation of student feedback where appropriate, and potential adjustments to audit scope to align with recent strategic planning efforts.

The Committee also discussed the process for identifying and prioritizing future audit topics, reviewed areas of interest raised by board members, students, and community members, and considered how audits might align with board goals and areas of risk. The Committee narrowed the list of potential topics down to three audits topics: leave time practices, systems of support for principals, and student performance measure. Staff will review the selected audit topics and bring more details on each back to a future meeting to be narrowed further.

Overview of the Office of Internal Performance Audit (OIPA)

- **Board Policy: District Performance Auditing 1.60.040-P**
- **PPS Audit Committee and Performance Auditor Charter & Process**
- **Essential Conditions**
- **Benchmarking Data: Internal Auditing in the Great City Schools – White Paper**

Time: 6:51 pm

Staff: Janise Hansen

Staff noted that they have met with each committee member to discuss topics related to the Office of the Internal Performance Audit (OIPA), adding that Committee Members should reach out if they have any further questions. Staff noted that the Annual Audit Report highlighted outstanding internal audit recommendations and included feedback from previous auditees.

Wrap-up

Time: 6:58 pm

Committee Chair Sullivan noted that the next Committee meeting is scheduled November 16, 2025, and requested that the meeting start at 4:30 pm. Committee members indicated whether they would like to continue to receive printed packets.

Adjournment

The meeting was adjourned at 7:00 pm by Committee Chair Patte Sullivan.

Submitted by:
Kara Bradshaw
Executive Assistant / Board Clerk
Portland Public Schools